



**U.S. Customs and
Border Protection**

PUBLIC VERSION

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VIA EMAIL

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RE: Notice of Initiation of Investigation and Interim Measures - EAPA Case Number 7711

Dear Counsel and/or Representatives for the above-referenced Entities:

This letter is to inform you that U.S. Customs and Border Protection (“CBP”) has commenced a formal investigation under Title IV, Section 421 of the Trade Facilitation and Trade Enforcement Act of 2015, commonly referred to as the Enforce and Protect Act (“EAPA”), for Pitts Enterprises, Inc. (“Pitts”). CBP is investigating whether Pitts is evading antidumping (“AD”) and countervailing duty (“CVD”) orders A-570-135 and C-570-136 (the “Orders”),¹ respectively, on certain chassis and subassemblies from the People’s Republic of China (“China”). CBP found that reasonable suspicion exists that Pitts entered covered merchandise for consumption into the customs territory of the United States through evasion and as a result, CBP is issuing a formal notice of investigation (NOI) and imposing the interim measures outlined below.²

¹ See *Certain Chassis and Subassemblies Thereof From the People's Republic of China: Antidumping Duty Order*, 86 Fed. Reg. 36,093 (July 8, 2021) (*AD Order*); and also see *Certain Chassis and Subassemblies Thereof From the People's Republic of China: Countervailing Duty Order and Amended Final Affirmative Countervailing Duty Determination*, 86 Fed. Reg. 24,845 (May 10, 2021) (*CVD Order*), respectively.

² See 19 U.S.C. § 1517(b)(1) (noting that the information provided in the allegation must “reasonably suggest” evasion to initiate an investigation); *id.* § 1517(e), 19 C.F.R. § 165.24 (noting that the “reasonable suspicion” standard must be satisfied to implement interim measures).

Period of Investigation

Pursuant to 19 C.F.R. § 165.2, entries covered by an EAPA investigation are those “entries of allegedly covered merchandise made within one year before the receipt of an allegation....” Entry is defined as an “entry, or withdrawal from warehouse for consumption, of merchandise in the customs territory of the United States.”³ CBP acknowledged receipt of the properly filed EAPA allegation against Pitts on June 29, 2022.⁴ The entries covered by the investigation are those entered for consumption, or withdrawn from warehouse for consumption, from June 29, 2021,⁵ through the pendency of this investigation.⁶

Initiation & Description of the Alleged Evasion Scheme

On July 20, 2022, the Trade Remedy Law Enforcement Directorate (TRLED) within CBP’s Office of Trade initiated investigations under EAPA⁷ based on allegations submitted by CIMC Intermodal Equipment LLC, dba CIE Manufacturing (“CIMC”),⁸ an importer of covered merchandise.⁹ CIMC claims Pitts is evading AD/CVD Orders A- 570-135 and C-570-136 on certain chassis and subassemblies from the People’s Republic of China (“China”). CIMC alleged that available information reasonably suggested Pitts imported chassis with subassembly components, including axles and landing gear legs, of Chinese-origin, that are subject to the Orders. CIMC also alleged that Pitts entered the chassis with Chinese-origin components into the United States as a product of Vietnam only, without disclosing China as the country of origin of the components, and without identifying Chinese-origin components as Type 03 entries, subject to the Orders.

CIMC claimed Pitts is importing certain chassis incorporating subassembly components from China without the payment of AD/CVD duties by claiming that the imported chassis originated in Vietnam and by failing to identify “covered merchandise” (*i.e.*, chassis subassembly components, including Chinese-origin axles and landing gear legs, entered with finished or unfinished chassis). CIMC also claimed that material omissions or material false statements in Pitt’s entry summaries enabled Pitts to avoid tendering cash deposits or paying AD/CVD duties lawfully owed under the Orders.¹⁰

In support of its allegation, CIMC provided an affidavit attesting to the facts of an inspection of [# / *company name/ chassis products*]¹¹ that CIMC has reason to believe Pitts imported

³ See 19 U.S.C. § 1517(a)(4); *see also* 19 C.F.R. § 165.1.

⁴ See email entitled, “EAPA 7711: Receipt of Properly Filed Allegation” (June 29, 2022).

⁵ Although the *AD Order* did not go into effect until July 8, 2021, which was after this date, CBP began suspending liquidation and requiring cash deposits for entries of covered merchandise on March 4, 2021, the date of the preliminary determination in the AD investigation on certain chassis and subassemblies from China. *See AD Order*, 86 Fed. Reg. at 36,093.

⁶ See 19 C.F.R. § 165.2.

⁷ See CBP Memoranda, “Initiation of Investigation for EAPA Case Number 7711 – Pitts Enterprises, Inc.” (Jul. 20, 2022).

⁸ See CIMC’s Request for an Investigation under the Enforce and Protect Act, dated May 11, 2022 (“Allegation”).

⁹ *Id.* at 3 and Exhibit 20. As an importer, CIMC meets the definition of an interested party that may file an EAPA allegation, pursuant to 19 C.F.R. § 165.1(1).

¹⁰ *Id.* at 6.

¹¹ *Id.* at Exhibit 8 referencing the [*company name, activity*] by Pitts.

into the customs territory of the United States.¹² CIMC provided that each inspected chassis had a date of manufacture of [*date*], meaning that each chassis was manufactured after the preliminary determinations, the suspensions of liquidation, and the first collections of cash deposits under the AD/CVD investigations that gave rise to the Orders.¹³

According to affiant, [*name*], each of the VIN plates on the inspected chassis indicated that the chassis were [*company name, activity*] and listed [*company name*] as the manufacturing plant.¹⁴ This affiant indicated the only [*company name and information, location*].¹⁵ Photographs of the VIN numbers of the inspected chassis refer to [*company name*] as the manufacturer.¹⁶

Each of the inspected chassis also contained axles and landing gear legs [*company name, information*].¹⁷ CIMC provided a second affidavit detailing the [*company name*] chassis components. The second affiant, [*name*], indicated that [*company name*] chassis components are manufactured only in China.¹⁸ [*company name's*] parent company is [*company name*]. [*co. name*] is based in [*location*], where its only manufacturing locations are located.¹⁹ [*Name*] expressed that [*company name*] does not manufacture any axle components from raw materials in the United States, and instead imports ready-for-assembly axle components manufactured by [*company name*] in China and assembles those components in the United States. This affiant also noted that despite [*company name*] having a facility in [*location*], this facility handles only minor final assembly operations, not the substantially transformative operations that confer origin for purposes of the Orders.²⁰

In support of its claim that Pitts entered the chassis with Chinese-origin components into the United States as a product of Vietnam only, without disclosing China as the country of origin of the components, CIMC submitted data from [*source*].²¹ The [*data source*] results revealed that between April 30, 2021, and July 26, 2021, eight shipments of chassis classified under Harmonized Tariff Schedule of the United States (“HTSUS”) subheadings 8716.90 and 8716.39 were imported into the United States with Pitts Enterprises, Inc. listed as the consignee, and Thaco Special Vehicles Manufacturing as the shipper (“Thaco”).²² Based on the date of inspection by CIMC of [*date*] and the VIN plate information of the four inspected chassis, namely [*date, company name/information, and company name/information*], CIMC

¹² *Id.* at Exhibit 6.

¹³ *Id.* at 7, citing *Certain Chassis and Subassemblies Thereof From the People’s Republic of China: Preliminary Affirmative Determination of Sales at Less Than Fair Value*, 86 Fed. Reg. 12,616 (Mar. 4, 2021) and *Certain Chassis and Subassemblies Thereof From the People’s Republic of China: Preliminary Affirmative Countervailing Duty Determination*, 86 Fed. Reg. 56 (Jan. 4, 2021).

¹⁴ *Id.*

¹⁵ *Id.* at 7.

¹⁶ *Id.* at Exhibit 7, and Figure 1.

¹⁷ *Id.* at 8. *See also* Exhibits 10 and 11, and Figure 2.

¹⁸ *Id.* at 9 and Exhibit 12.

¹⁹ *Id.* at Exhibit 14.

²⁰ *Id.* at 10.

²¹ *Id.* at 11 and Exhibit 14.

²² *Id.* at 12. *See also* Tables 1 and 2; Exhibit 17.

reasonably believed that the four inspected chassis were imported into the United States in one of these eight shipments.

In further support of its allegation, CIMC cited a [*publisher*] article dated [*date*], claiming it anticipated that Pitts would continue to import chassis with subject Chinese-origin components into the United States.²³ The article explains that [*company name and description*] plans to export [*#/product/company names and information/date*]. The article also notes that beginning in 2022, [*company name/activity/#/product/purchaser/timeframe*]. Additionally, a [*customer name*] news release dated [*date*] states that [*customer name, company name and information*], and notes that [*customer name, company names and information, year*].²⁴

Based on the documentation reasonably available to it, CIMC claimed Pitts declared Vietnam only as the country of origin and failed to properly segregate the covered Chinese-origin axles and landing gear legs on its import documentation. CIMC argued that Pitts would need to segregate the chassis subassembly components on their own lines of the Commercial Invoice and Form 7501 Entry Summary, with associated per-line HTSUS subheadings, invoiced prices, dutiable value, country of origin (*i.e.*, China), AD and CVD case numbers, cash deposit rates, and Type 03 entry type, to properly import chassis containing subject Chinese-origin axles and landing gear legs.²⁵ CIMC inferred that Pitts failed to do so (*i.e.*, by stating that Vietnam was the only country of origin for the imported merchandise) based on documentation described above that was reasonably available to CIMC.

TRLED initiates an investigation if it determines that “{t}he information provided in the allegation ... reasonably suggests that the covered merchandise has been entered for consumption into the customs territory of the United States through evasion.”²⁶ Evasion is defined as “the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the covered merchandise.”²⁷ Thus, the allegation must reasonably suggest not only that the importer entered merchandise subject to an AD and/or CVD order into the United States, but that such entry was made by a material false statement or act, or material omission, that resulted in the reduction or avoidance of applicable AD and/or CVD cash deposits or other security.

In assessing the claims made and evidence provided in the allegations, TRLED found the allegations reasonably suggested that Pitts evaded AD order A-570-135 and CVD order C-570-136 by importing chassis with Chinese-origin components into the United States as a product of

²³ *Id.* at 13 and Exhibit 18.

²⁴ *Id.* at 13-14 and Exhibit 19.

²⁵ *Id.* at 14.

²⁶ See 19 C.F.R. § 165.15(b); *see also* 19 U.S.C. § 1517(b)(1).

²⁷ See 19 C.F.R. § 165.1; *see also* 19 U.S.C. § 1517(a)(5)(A).

Vietnam only, without disclosing China as the country of origin of the components.²⁸ Specifically, CIMC submitted documentation reasonably available to it, including company-specific shipment data sourced from [*source*], images of inspected chassis, business entity information, company profiles, media links, and sworn declarations from affiants with industry specific knowledge, such as production practices, affiliations, and a firsthand account of a chassis inspection.

Interim Measures

Not later than 90 calendar days after initiating an investigation under EAPA, TRLED will decide based on the record of the investigation if there is reasonable suspicion that merchandise covered by the AD/CVD orders was entered into the United States through evasion. CBP need only have sufficient evidence to support a reasonable suspicion finding that the importer alleged to be evading entered merchandise covered by an AD or CVD order into the United States by a materially false statement or act, or material omission, that resulted in the reduction or avoidance of applicable AD or CVD cash deposits or other security. If reasonable suspicion exists, CBP will impose interim measures pursuant to 19 U.S.C. § 1517(e) and 19 C.F.R. § 165.24. As explained below, CBP is imposing interim measures because the evidence establishes reasonable suspicion that Pitts entered covered merchandise into the United States through evasion by importing chassis with Chinese-origin components as a product of Vietnam only, without disclosing chassis made with Chinese-origin components, which should be classified as Type 03, subject to the Orders.²⁹

Cargo Examination

On September 2, 2022, CBP conducted an examination of chassis imported by Pitts, specifically, entry number [*#*]3525³⁰. On examination, the chassis were found to be [*description*]. Each inspected chassis was appropriately classified under HTSUS [*#*] and thereby subject to the referenced AD/CVD Orders. Among other notable observations, the chassis included:

- Landing gear legs with serial plates bearing [*company name*] markings, a manufacture date, and a reference to “[*location*]”.
- Axles and/or [*component name*] with serial plates bearing [*company name*] markings, a manufacture date, and a reference to “[*location*]”.
- Serial plates and other components with [*company name*] branding decals.
- Serial plates indicating that the trailers were manufactured by [*company name and description*] with [*company name*] as the manufacturing plant.
- Other components or subassemblies manufactured by [*company name*] engraved with “Assembled in CHINA.”

²⁸ While TRLED agrees with CIMC that the evidence presented reasonably suggests evasion, TRLED disagrees with CIMC that only the components of Chinese origin should have been classified as Type 03 entries. As detailed throughout this notice, it is TRLED’s position that the entire chassis should have been classified as Type 03.

²⁹ See 19 C.F.R. § 165.24(a).

³⁰ See Cargo Exam Photos 1, Cargo Exam Photos 2, and Cargo Exam Photos 3 taken on September 2, 2022.

CF-28 Responses

On August 10, 2022, CBP issued two CBP Form 28 (“CF-28”) requests for information (“RFI”) to Pitts³¹. In the CF-28s, CBP requested bills of lading, purchase orders, invoices, proof of payments, certificate(s) of origin and information regarding final assembly. In addition, CBP requested that Pitts provide the following from the foreign manufacturer: raw material records with Customs clearances, production records, assembly records, employee timecards, export documentation, Outward Processing Arrangements (“OPA”), and documentation detailing manufacturing processes.

Following CBP’s approval of two extension requests by the importer, Pitts submitted its expansive CF-28 responses for entry numbers [#]4391³² and [#]3907³³ on September 23, 2022. The documents provided by Pitts revealed a significant portion of the chassis was produced by [company name], including parts, components, assemblies, and subassemblies that were either sourced or originated from at least [#] different countries, including China. According to a Bill of Materials (“BOM”), China was the country of origin for approximately [#] percent of the parts for entry number [#]3907 and [#] percent for entry number [#]4391. Other voluminous documentation such as purchase orders, invoices, and customs clearances corroborate the same.

In addition to the documents provided and in compliance with CBP’s CF-28 RFI, Pitts also supplied narrative responses to questions tendered³⁴. Of note, Pitts indicated that it sought to have “[company name] produce semi-trailers for Pitts” because “[company name] produces high quality semi-trailers.”³⁵ Furthermore, “Pitts entered into a sales agreement to purchase the completed chassis, produced by [company name]”³⁶. Reportedly, the chassis for both of Pitts’ entries were imported for their customer, [customer name]³⁷. Specifically, Pitts contracted for a total of [#] chassis of different models, including [#] of the [model name] model in entry number [#]4391. Entry number [#]3907 included [#] pieces of completed chassis model number [#], specifically [model name].³⁸ Pursuant to the contract terms, payment was made to [company name, payment terms] of total amount at time of signing, and [payment terms].³⁹

CBP also observed the following in the importers’ CF-28 responses:

³¹ See CBP’s CF-28 for Entry [#]3907 and CF-28 for Entry [#]4391.

³² See Pitts’ CF-28 response for entry number [#]4391 (Sep. 23, 2022) (Pitts’ CF-28 Response – Entry [#]4391), which pertains to “[model name] Semi-trailers, produced by an unrelated Vietnam-based manufacturer,” [co. name].

³³ See Pitts’ CF-28 response for entry number [#]3907 (Sep. 23, 2022) (Pitts’ CF-28 Response – Entry [#]3907), which pertains to “[model name] Semi-trailer models produced by an unrelated Vietnam-based manufacturer,” [co. name].

³⁴ See Pitts CF-28 Response – Entry [#]4391 at RFI QNR Resp. and Pitts’ CF-28 Response – Entry [#]3907 at RFI QNR Resp.

³⁵ *Id.* at 1.

³⁶ *Id.*

³⁷ *Id.* at 2.

³⁸ *Id.*

³⁹ *Id.* at 4.

- According to Pitts, “the completed chassis were produced by [*company name*] in Vietnam with raw materials and parts sourced in Vietnam and several countries, which are identified in the Bill of Materials (BOM) provided in Attachment Answer 4.1.”⁴⁰
- [*company name*] purchased certain parts and components produced from raw materials by [*company name and information*]. [*company names and information*] for the chassis.⁴¹
- [*Company name*] is responsible for the integration of [*description*] parts with other [*description of parts*] to [*activity*] for chassis.⁴²
- As part of Pitts’ response to CBP’s request for commercial invoices and any OPAs, the importer stated, “to the extent the question asks for an invoice issued to [*company name*] for the chassis at issue this question does not apply. The chassis are produced in Vietnam .”⁴³
- Pitts indicated the merchandise for [*entry #*]4391and [*entry #*]3907 was complete at the time of import and no post-importation assembly of the semi-trailers took place in the United States.⁴⁴
- Pitts referred to “completed” chassis on at least 12 occasions in describing the imported merchandise, thereby inferring the chassis are “finished” in accordance with the Orders.⁴⁵

Analysis

Based on the evidence presented in the record, CBP determines there is reasonable suspicion that Pitts has evaded AD order A-570-135 and CVD order C-570-136 by importing chassis with Chinese-origin components into the United States as a product of Vietnam only, without disclosing China as the country of origin of the components, and without identifying the chassis as having Chinese-origin components, which should be classified as Type 03 entries, subject to the Orders. Information from the allegations, and cited in the initiation memoranda, support such a conclusion. Furthermore, based on findings from the cargo examination and a review of the importers’ CF-28 responses, CBP finds that information therein either corroborates information in the allegations or provides indications of potential evasion.

⁴⁰ *Id.*

⁴¹ *Id.* at 5.

⁴² *Id.*

⁴³ *Id.* at 5-7.

⁴⁴ *Id.* at 10.

⁴⁵ *Id.* at 1-10.

Consistent with CIMC's allegation pertaining to Pitts, the Orders make clear that imported chassis with subassembly components, including axles and landing gear legs, of Chinese-origin are considered subject merchandise. These subassembly components of Chinese-origin were identified by CBP during a cargo examination and reported in Pitts' voluminous CF-28 responses. The Orders go on to detail:

Subject merchandise also includes chassis, whether finished or unfinished, entered with or for further assembly with components such as, but not limited to: Hub and drum assemblies, brake assemblies (either drum or disc), *axles*, brake chambers, suspensions and suspension components, wheel end components, *landing gear legs*, spoke or disc wheels, tires, brake control systems, electrical harnesses and lighting systems.⁴⁶

Again, much of this referenced subject merchandise of Chinese-origin is included in what Pitts referenced in its CF-28 responses as "completed chassis," which it imported as a product of Vietnam only. The scope language from the Orders further detail:

Processing of finished and unfinished chassis and components such as trimming, cutting, grinding, notching, punching, drilling, painting, coating, staining, finishing, assembly, or any other processing either in the country of manufacture of the in-scope product or in a third country does not remove the product from the scope. Inclusion of other components not identified as comprising the finished or unfinished chassis does not remove the product from the scope.⁴⁷

In the instant case, CBP observed that chassis imported by Pitts contain many assemblies and/or subassembly components of Chinese-origin, including components that were not specifically detailed in CIMC's allegation, such as [*component names*] to name a few. Given this fact and in attention of the above-referenced scope language, CBP will enact interim measures with attention placed on chassis imported by Pitts in their entirety.

Enactment of Interim Measures

Based on the record evidence, CBP determines that reasonable suspicion exists that Pitts entered covered merchandise for consumption into the customs territory of the United States through evasion by importing chassis with Chinese-origin components into the United States as a product of Vietnam only, without disclosing China as the country of origin of the components, and without identifying the chassis with Chinese-origin components as Type 03 entries, subject to the Orders. Therefore, CBP is imposing interim measures on Pitts' imports of chassis from Vietnam into the United States pursuant to this investigation.⁴⁸

Specifically, in accordance with 19 U.S.C. § 1517(e)(1)-(3), CBP shall:

- (1) suspend the liquidation of each unliquidated entry of such covered merchandise that entered on or after July 20, 2022, the date of the initiation of the investigation;

⁴⁶ See *AD Order*, 86 Fed. Reg. at 36,094-95 and *CVD Order*, 86 Fed. Reg. at 24,845. (Emphasis added).

⁴⁷ *Id.* (Emphasis added).

⁴⁸ See 19 U.S.C. § 1517(e); see also 19 C.F.R. § 165.24.

- (2) pursuant to the Commissioner's authority under 19 U.S.C. § 1504(b), extend the period for liquidating each unliquidated entry of such covered merchandise that entered before July 20, 2022, the date of the initiation of the investigation; and
- (3) pursuant to the Commissioner's authority under 19 U.S.C. § 1623, take such additional measures as the Commissioner determines necessary to protect the revenue of the United States, including requiring a single transaction bond or additional security or the posting of a cash deposit with respect to such covered merchandise.⁴⁹

In addition, CBP will require live entry, requiring cash deposits to be posted prior to release of merchandise from CBP custody. CBP will reject any entry summaries that do not comply with live entry procedure and require refile of entries that are within the entry summary rejection period. CBP will also evaluate Pitts' continuous bonds to determine their sufficiency. Finally, CBP may pursue additional enforcement actions, as provided by law, consistent with 19 U.S.C. § 1517(h).

For any future submissions or factual information that you submit to CBP pursuant to this EAPA investigation, please provide a business confidential version and a public version with a public summary⁵⁰ using the EAPA Case Management System (CMS), found at <https://eapallegations.cbp.gov>. All public versions will be accessible to the parties to the investigation via the CMS.⁵¹

Should you have any questions regarding this investigation, please feel free to contact us at eapallegations@cbp.dhs.gov. Please include "EAPA Case Number 7711" in the subject line of your email. Additional information on this investigation, including the applicable statute and regulations, may be found on CBP's website at: <https://www.cbp.gov/trade/trade-enforcement/tftea/eapa>.

Sincerely,



Brian M. Hoxie
Director, Enforcement Operations Division
Trade Remedy & Law Enforcement Directorate
CBP Office of Trade

⁴⁹ See also 19 C.F.R. § 165.24(b)(1)(i)-(iii).

⁵⁰ See 19 C.F.R. §§ 165.4, 165.23(c), and 165.26.

⁵¹ You will need a login name and password to use the CMS. The website will direct you how to obtain those.